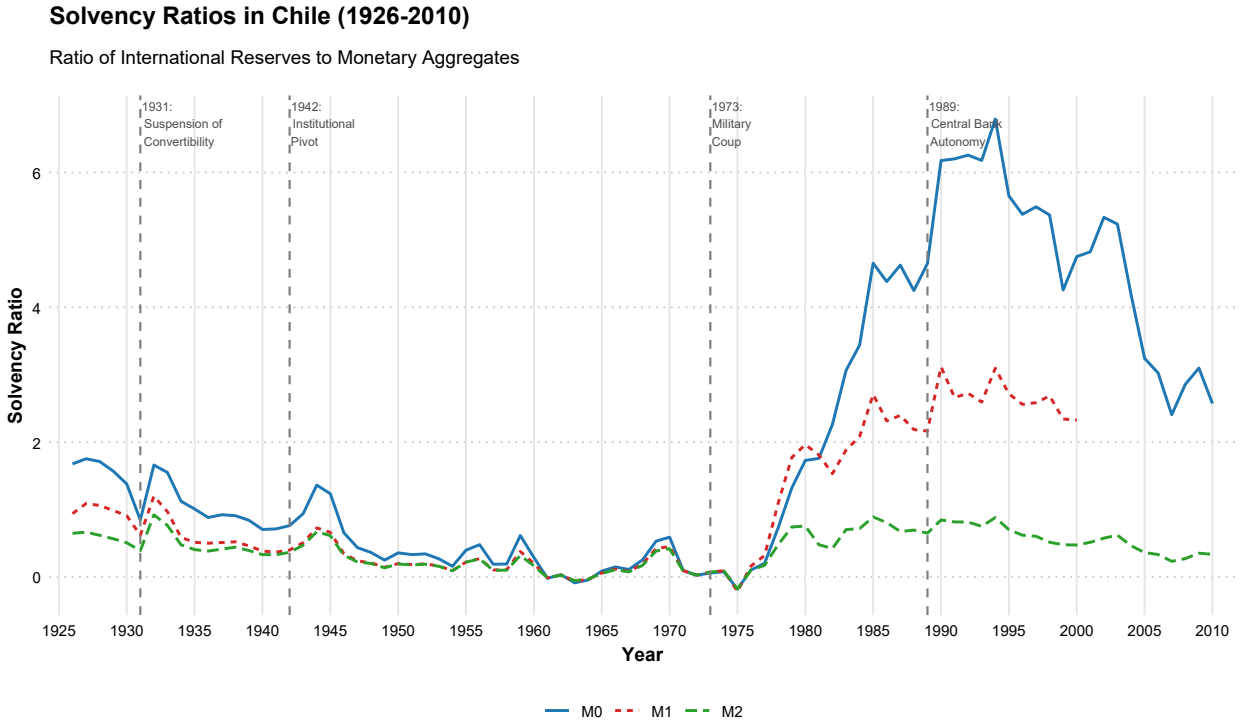
Chile's Peripheral Monetary History: Solvency and Leverage Ratios (1926–2010)

Overview

This document compiles visualizations of Chile's Solvency and Leverage ratios across three monetary aggregates (M_0, M_1, M_2) covering the historical period 1926–2010.

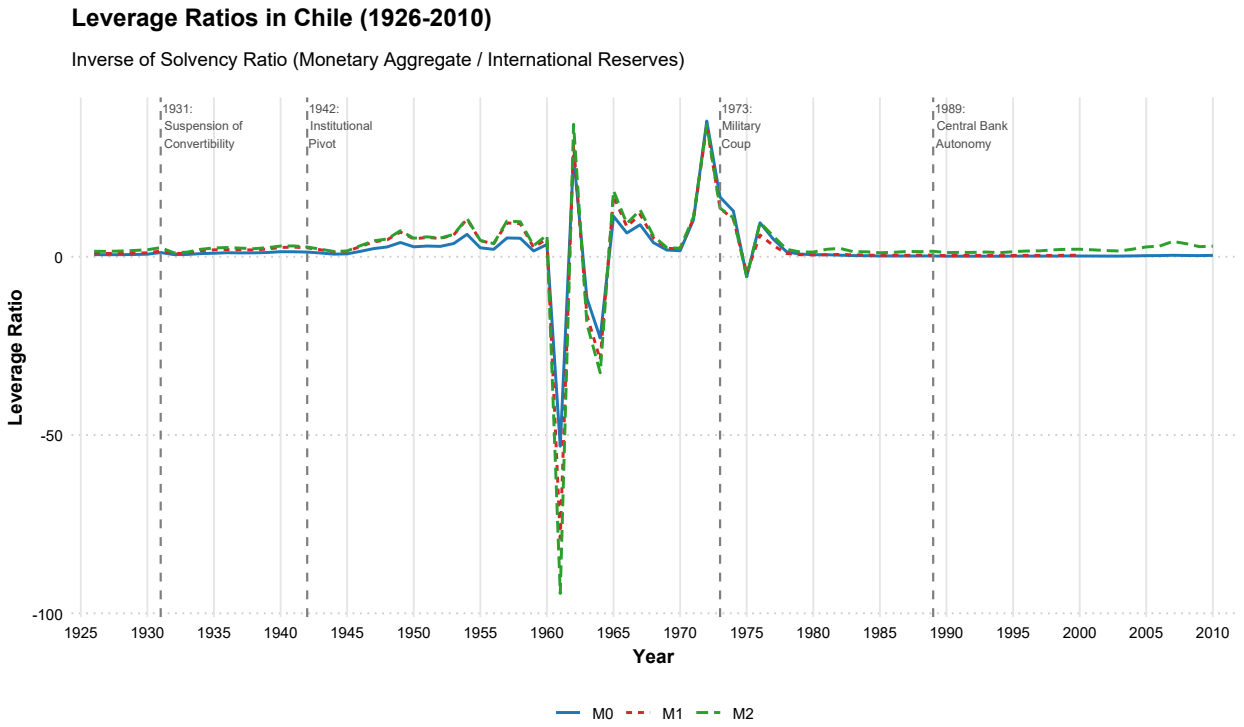
- **1931**: Suspension of Gold Convertibility following the collapse of British sterling.
- **1942**: The Institutional Pivot (Law 7,200), replacing orthodox reserve cover with functional credit control and directed industrialization.
- **1973**: The Military Coup and subsequent structural adjustment.
- **1989**: Autonomy of the Banco Central de Chile.

Figure 1: Solvency Ratios (Combined Aggregates)



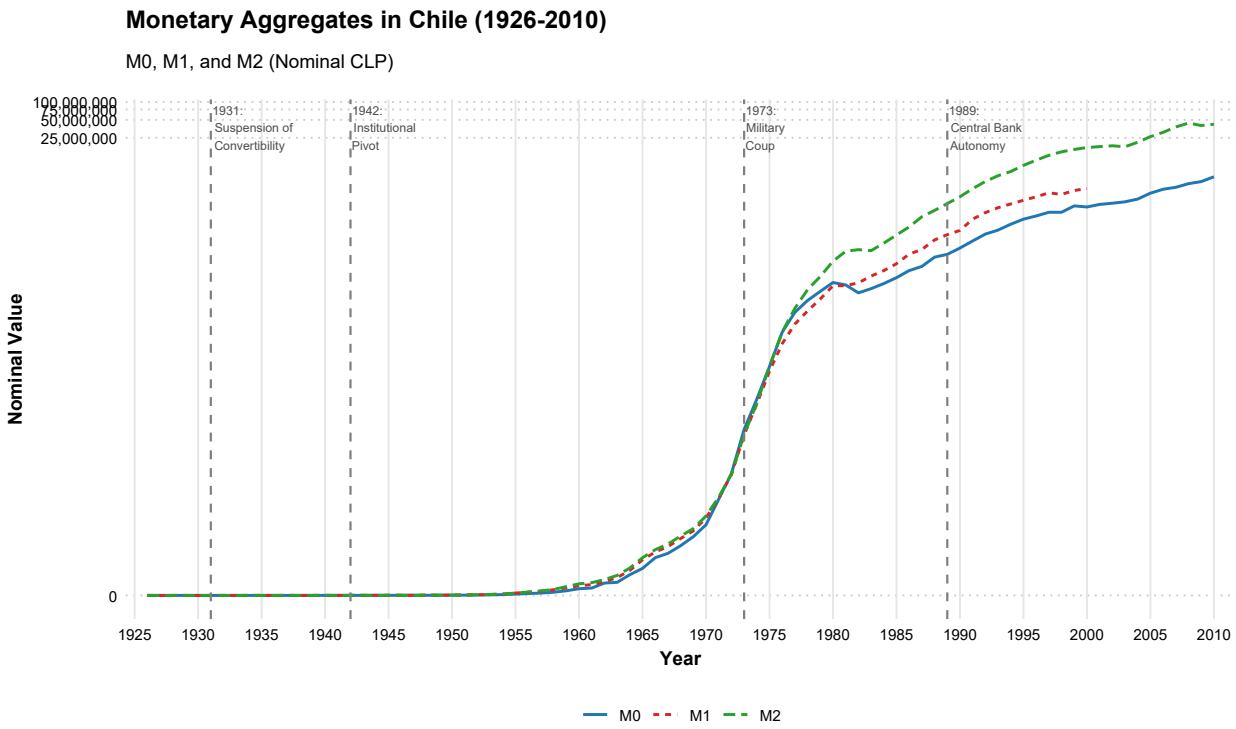
Notes: Solvency ratio defined as International Reserves relative to the monetary aggregate. Colored lines represent different liquidity tiers (M_0, M_1, M_2). Vertical dashed lines denote major institutional regime changes.

Figure 2: Leverage Ratios (Combined Aggregates)



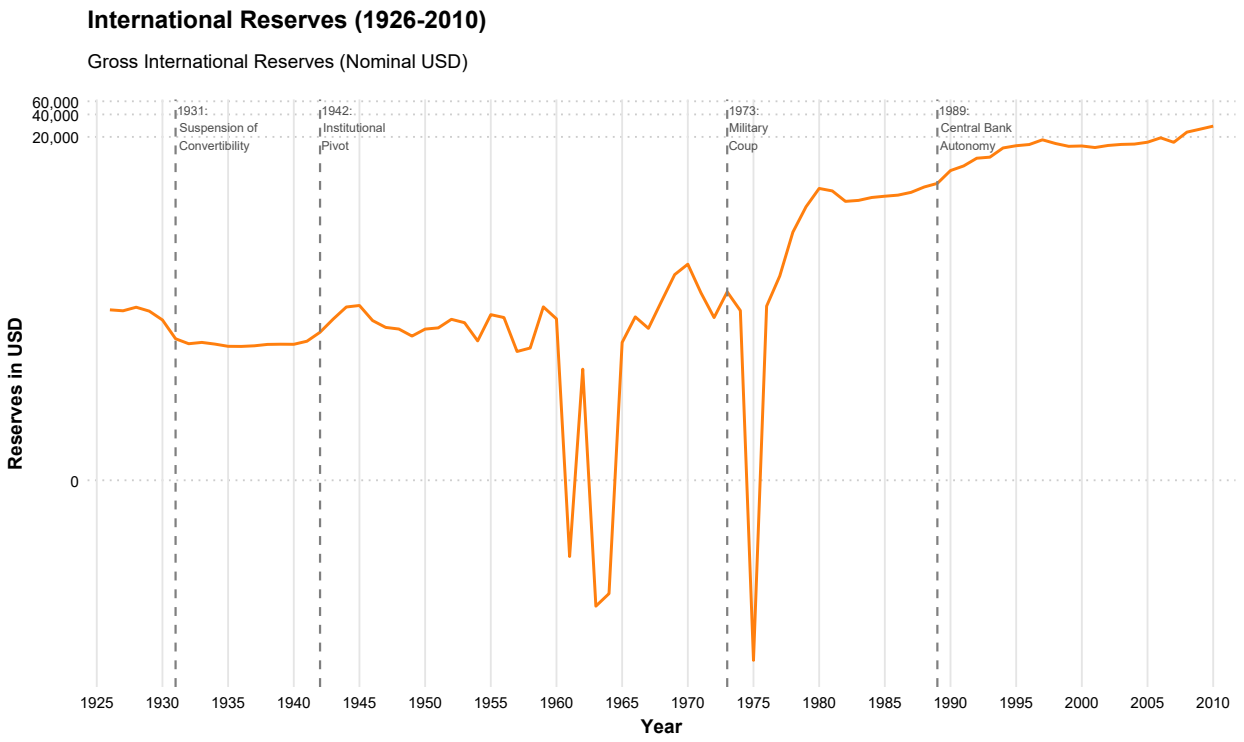
Notes: Leverage ratio defined as the inverse of the solvency ratio (Monetary Aggregate / International Reserves). This measures the extent to which domestic liquidity was expanded beyond international hard-currency backing.

Figure 3: Monetary Aggregates (M_0, M_1, M_2)



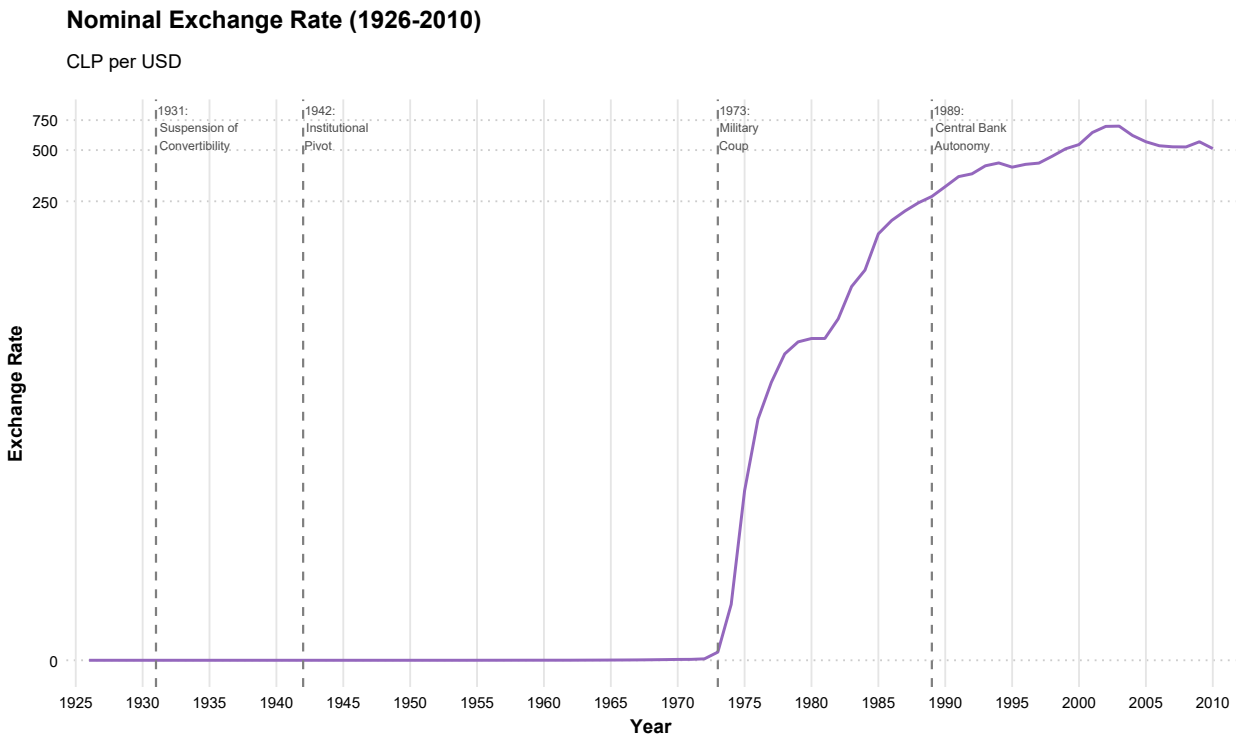
Notes: Raw monetary aggregates in Nominal CLP (Inverse Hyperbolic Sine scale).

Figure 4: International Reserves (USD)



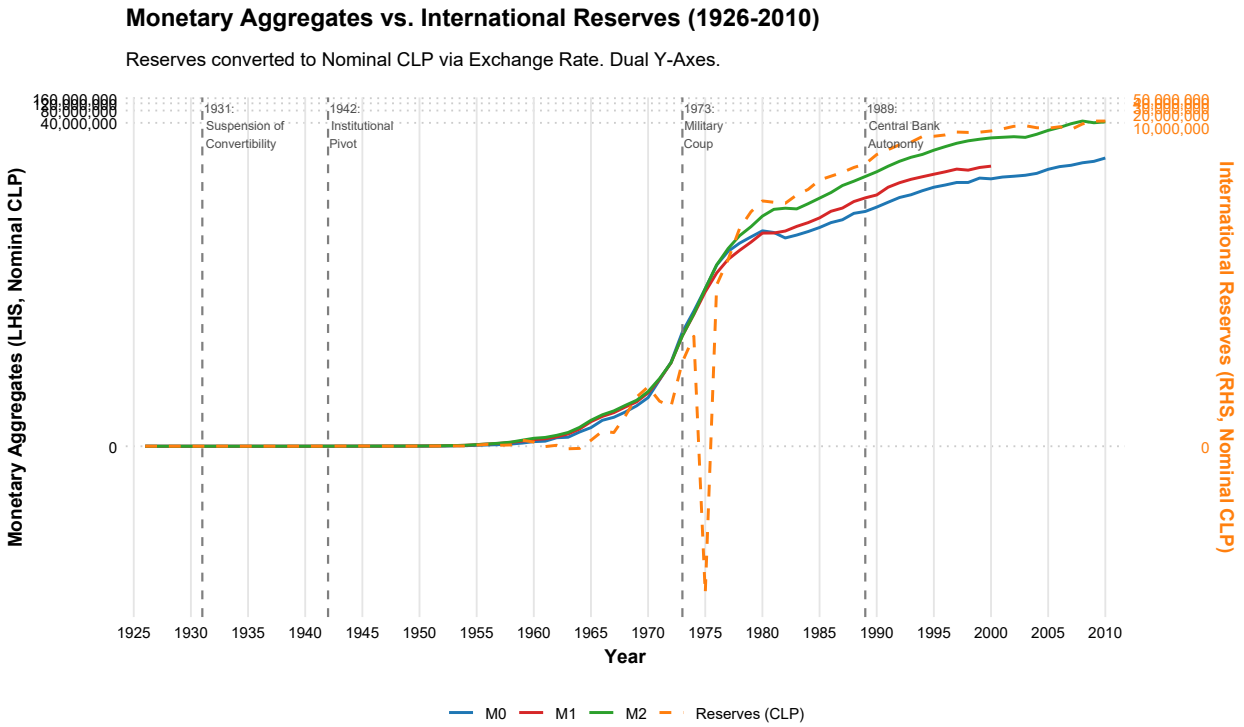
Notes: Gross International Reserves in Nominal USD (Inverse Hyperbolic Sine scale).

Figure 5: Nominal Exchange Rate



Notes: Nominal Exchange Rate, expressed in CLP per USD (Inverse Hyperbolic Sine scale).

Figure 6: Dual Display: Money vs. Reserves (in Nominal CLP)



Notes: Monetary aggregates (M_0, M_1, M_2) are plotted on the left-hand axis (LHS). International reserves are multiplied by the nominal exchange rate to convert them into Nominal CLP and are plotted on the right-hand axis (RHS). The scales are dynamically proportioned to visually align the series despite massive hyperinflationary differences across magnitudes. (Inverse Hyperbolic Sine scale).